7. Financial Covenants

Minimum working capital:	**$3,000,000**
Maximum ratio of total liabilities to tangible net worth:	**2.75 to 1.00**
Minimum tangible net worth:	**$6,500,000**
Testing:	**At the end of each fiscal quarter**
Compliance certificate due:	**Within 45 days after each quarter end**
Term loan interest rate:	**7.10% fixed**
Line of credit interest rate:	**Prime rate plus 0.50%**
Prime rate in effect from June 1, 2026:	**7.25%**
Interest basis:	**Actual days over a 360-day year, payable monthly in arrea**

7.6 Definitions

Working capital means current assets less current liabilities, each as shown in the borrower’s quarterly financial statements prepared under GAAP.

Tangible net worth means shareholders’ equity less intangible assets and less all amounts due from affiliates, including receivables, retainage and costs and estimated earnings in excess of billings on contracts with affiliates.

Total liabilities means all liabilities shown on the borrower’s balance sheet, including billings in excess of costs and estimated earnings.

An affiliate is any entity under common ownership or control with the borrower.

7.7 A breach of a financial covenant is an event of default under Section 9 unless the bank waives it in writing. On an event of default the bank may declare the line of credit and the term loan due.

Demonstration document. Not a real loan agreement.